
Answers

1 Report to the board of directors on the viability of the investment in Erat

Introduction

This report considers the suitability of a proposal to manufacture and sell scientific instruments in Erat. It takes into account the project's net present value (NPV) calculation, which is included in an appendix to the main report and discusses the assumptions on which the project's cash flows are based, including the impact of an adjustment to the exchange rate assumption, which was suggested by the marketing director. The report continues with a discussion on political risk, explaining whether or not the discount rate should be adjusted for country risk.

Results

On a purely financial basis, the NPV of \$1.1m suggests the project should be approved. However, sensitivity analysis would be useful in testing the sensitivity of the project's NPV to each of the inputs in order to identify critical variables.

Evaluation

There is conflicting evidence about the future direction of the exchange rate since the inflation differentials provided in the scenario were used to predict a strengthening of the pound relative to the dollar whereas the historical trend analysis seems to be predicting a weakening pound.

If the pound does in fact weaken, the project's cash flows will be worth less in terms of dollars. A weakening currency will affect the later cash flows more than the earlier cash flows. It is therefore not unexpected that the project's NPV is significantly lower under these circumstances since the resale value of the land and buildings has a significant impact on the project's value. In fact, the NPV switches from being positive to negative (i.e. \$0.5m) when the exchange rate assumption is altered.

The analysts' predictions suggest such a scenario is extremely unlikely, but the marketing director's approach would result in a project being rejected even when the overwhelming likelihood is that it would be wealth increasing, simply because there is a remote possibility that it could result in a marginally negative NPV.

Ultimately, the final decision will depend on the board's attitude to risk but based on expected values, the project will increase shareholder wealth and should, therefore, be accepted unless the board is very risk averse since the downside is only marginally negative and is considered to be an unlikely outcome.

Assumptions

It is assumed that the inputs used in the NPV calculation, such as the selling prices, market demand, variable and fixed costs, tax, working capital, investment cost, residual value, transfer price, component contribution, cost of capital and inflation differentials are estimated accurately. The project value also assumes certain inputs remain constant or adjusted for inflation for the duration of the project such as the tax rates, tax allowable depreciation, transfer price, component contribution and the working capital requirement.

The exchange rates are based on the purchasing power parity model, using analysts' predictions about future inflation differentials. However, research suggests that this model is more effective at predicting long-term fluctuations, rather than short-term movements in the exchange rate.

The calculations assume the investment will take place immediately, assuming the project is approved, although in reality there are likely to be delays. There is also an assumption that the project will only last for four years, so any change to this assumption will impact the NPV.

Marketing director's concerns

Lack of consistency between analysts' predictions

There is nothing unusual about the lack of consistency between the analysts' predictions. Predictions about the future are inherently subjective and there are a number of variables which could affect future inflation rates (e.g. government spending, monetary policy and economic growth). Each analyst will rely on different methodologies and forecasting biases with different assumptions about each of the input variables.

Finance director's methodology

The theoretically correct approach to managing this type of risk is to attach probabilities to each of the possible outcomes and calculate expected inflation rates which can be incorporated into the purchasing power parity model. Therefore, the finance director's methodology is fundamentally sound. The key issue is whether the probability estimates are credible and what information was used to generate these estimates.

The marketing director's historical trend analysis predicts a weakening of the pound relative to the dollar, in contrast to the output of the purchasing power parity model. Although it is tempting to rely on historical trends, this would ignore the government's incentives for foreign investment and their likely impact on the future direction of the exchange rate. It is therefore not unexpected that the pound would strengthen when the government is actively promoting foreign investment.

However, there is some logic to the marketing director's suggestion if it is used to provide a measure of the project's risk and allows the board to attach a probability to a plausible downside scenario.

Political risk

The project in Erat may give rise to significant political risks. A recent opinion poll suggests that the governing party is already losing popular support only a few months after the last general election. Even though the general election took place fairly recently, there is also a potential for political instability if Erat's history of more frequent changes in government repeats itself. A new government could have a significant impact on the project's cash flows, particularly if the agreement to act as a buyer of last resort for the land and buildings is withdrawn. This agreement allows McKeever Co to recoup almost all of its investment cost and forms a significant portion of the project's present value. In a stagnating property market, there is a risk that the project is not feasible without such an agreement. On the other hand, it is possible that the political reforms begin to take effect by year four and the drive to increase foreign investment has a positive impact on Erat's property market.

There is also a risk that the favourable tax regime is withdrawn. Minor increases in the tax rate would not have an impact on the project's NPV because McKeever Co profits are taxed at a higher rate in its home country anyway. However, any increase above the US corporation tax rate of 25% would have an impact on the project's cash flows. In the context of a less favourable tax regime, any reduction in the transfer price would also have an adverse impact on the expected outcome. A new regime may seek to investigate the legitimacy of the transfer price and there is a risk that this could be reduced, shifting profits from a lower to a higher tax rate. There is also a risk that Erat could impose tariffs or quotas affecting the supply of the component which is to be imported from the US and this could have an impact on the project's manufacturing capacity.

There is also a possibility that a new government could re-introduce restrictions on annual remittances. Any change in this assumption would impact the project's NPV since delayed remittances would need to be discounted at a less favourable discount rate. McKeever Co could potentially bypass such a restriction, for example, by charging a management or royalty fee, but this assumes the exchange controls are not applied to repatriations in general. Although extreme, there remains a risk that a new government might attempt to appropriate McKeever Co's assets.

McKeever Co would need to assess the likelihood of a change of government over the next four years. If the next election is more than four years away, these issues may not be a material concern as long as the government remains stable.

Discount rate

All things being equal, the cost of capital would normally be expected to provide reasonable compensation for the risk of a new project when there is no change in McKeever Co's business or financial risk. Intuitively, however, it is not difficult to understand the CEO's concern since this project carries more risk than an equivalent project in McKeever Co's home country due to the exposure to both foreign exchange and political risk. However, the key question is whether this risk is diversifiable or not.

Foreign exchange risk will affect different companies in different ways. Some companies, such as McKeever Co, will be adversely affected by a weakening of the pound whereas other companies will benefit. In addition, losses in the Eratian pound may be offset by gains in another currency assuming there is a weak correlation across different currencies. It is therefore possible to reduce most, if not all, exposure to foreign exchange risk by investing in countries whose currencies do not all move in the same direction. This is McKeever Co's first foreign investment project, which means it is not a globally diversified company. However, McKeever Co's shareholders are mainly institutional investors whose portfolios are already likely to be well diversified across global markets. It is therefore unlikely they would be willing to pay a premium in the form of a higher discount rate for a risk which is diversifiable within their own portfolios.

The evidence for political risk, on the other hand, indicates there is a significant positive correlation across countries and this relationship is becoming stronger over time as global markets become more integrated. This suggests there is an element of political risk, which cannot be diversified away, for which investors would expect to be compensated in the form of an increase to the discount rate.

Recommendation

The project generates a positive NPV of \$1.1m and therefore appears acceptable. However, the project's assumptions need to be investigated, including the potential need for an adjustment to the project's discount rate to account for country risk. Scenario and sensitivity analysis would also be useful in identifying critical variables.

Appendix 1

Note: Rounding differences may arise when producing figures to one decimal place

Expected project cash flows: All cash flows are in £ thousands

Year	0	1	2	3	4
Contribution (w2)		9,625	12,311	15,670	17,887
Fixed costs (5%)		(750)	(788)	(827)	(868)
Tax allowable depreciation (TAD)		(4,500)	(4,500)	(4,500)	(4,500)
Taxable profit		4,375	7,023	10,343	12,519
Taxation (20%)		(875)	(1,405)	(2,069)	(2,504)
Add TAD		4,500	4,500	4,500	4,500
Cash flows after tax		8,000	10,118	12,774	14,515
Working capital (w3)	(1,444)	(403)	(504)	(332)	2,683
Investment cost	(50,000)				32,000
Cash flows	(51,444)	7,597	9,614	12,442	49,198

Cash flows: All cash flows are in \$ thousands

Year	0	1	2	3	4
Exchange rate (w1)	3.31	3.28	3.25	3.16	3.07
Converted cash flows	(15,542)	2,316	2,958	3,937	16,025
Additional tax (w4)		(67)	(108)	(164)	(204)
Component contribution (w5)		168	216	283	333
Tax on contribution (25%)		(42)	(54)	(71)	(83)
Cash flows	(15,542)	2,375	3,012	3,985	16,071
Discount rate (14%)	1.000	0.877	0.769	0.675	0.592
Present values	(15,542)	2,083	2,316	2,690	9,514

Net present value (NPV): \$1,061,000

Workings:

Working 1 (w1): Exchange rates

Year	1	2	3	4
£/\$	3.31 x	3.28 x	3.25 x	3.16 x
	1.05/1.06	1.05/1.06	1.04/1.07	1.04/1.07
	= 3.28	= 3.25	= 3.16	= 3.07

Working 2 (w2): Contribution

Year	1	2	3	4
Contribution	£175 x 55 = 9,625	£175 x 1.05 x 67 = 12,311	£175 x 1.05 x 82 = 15,670	£175 x 1.05 x 90 = 17,887

Working 3 (w3): Working capital

Year	0	1	2	3	4
Annual working capital requirement (15%)	1,444	1,847	2,351	2,683	
Incremental working capital	(1,444)	(403)	(504)	(332)	2,683

Working 4 (w4): Additional tax

Year	1	2	3	4
	(£4,375 x 0.05)/3.28 = \$67	(£7,023 x 0.05)/3.25 = \$108	(£10,343 x 0.05)/3.16 = \$164	(£12,519 x 0.05)/3.07 = \$204

Working 5 (w5): Component contribution

Year	1	2	3	4
	(£10 x 55)/3.28 = \$168	(£10 x 1.05 x 67)/3.25 = \$216	(£10 x 1.05 x 82)/3.16 = \$283	(£10 x 1.05 x 90)/3.07 = \$333

Appendix 2: NPV under alternative exchange rate assumption

Alternative cash flows: All cash flows are in thousands

Year	0	1	2	3	4
Cash flows £	(51,444)	7,597	9,614	12,441	49,198
Exchange rate	3.31	3.37	3.41	3.47	3.50
Converted cash flows (\$)	(15,542)	2,254	2,819	3,585	14,057
Additional tax (w6)		(65)	(103)	(149)	(179)
PV of post-tax component contribution	485				
Cash flows	(15,057)	2,189	2,716	3,436	13,878
Discount rate (14%)	1.000	0.877	0.769	0.675	0.592
Present values	(15,057)	1,920	2,089	2,319	8,216

Net present value (NPV): \$(513,000)

Working 6 (w6): Additional tax

Year	1	2	3	4
	(£4,375 x 0.05)/3.37 = \$65	(£7,023 x 0.05)/3.41 = \$103	(£10,343 x 0.05)/3.47 = \$149	(£12,519 x 0.05)/3.50 = \$179

- 2** **Note:** Credit will be given for alternative, relevant, calculations and discussion. Candidates will not be expected to complete all the calculations shown to obtain 10 marks.

Revenue and profitability

Overall, there has been a small decrease in Southmed Co (Southmed)'s revenue over the last two years with a rather larger decrease in gross profit.

Revenue and gross profit have declined particularly in the restaurants in the biggest cities. Possibly, fewer people are dining out in city centres, but also the better dining experience offered by more expensive competitor restaurants may be appealing more to customers. The gross profit margin of these restaurants has also dropped from 18.2% to 15.5%. This may suggest a cost base which cannot easily be cut in line with falls in revenue.

The restaurants in the tourist areas have shown an increase in revenue, but their gross profits have declined slightly. This may be due to poor cost control, or it may be that restaurant managers have been charging lower prices to compete with the cheaper restaurants. This will have resulted in an increase in activity but lower gross profits if food and other costs have not fallen.

The restaurants in the small cities and towns show stable figures. This may be an indication that costs are being controlled satisfactorily, possibly because, for example, waste is being carefully controlled.

The fall in the sector's average gross profit margin over the last three years is similar to the fall Southmed has experienced, suggesting that the sector generally is having similar issues to Southmed. Although the sector's average % margins are higher than for Southmed, these may be of limited use as comparators, as these margins will be influenced by figures from chains which Southmed would not regard as competitors. Figures for Southmed's individual competitors would be better comparators, ideally broken down geographically in the same way in which Southmed's figures are.

The revenue per restaurant's figures are of limited use for comparison between the different restaurant segments, as they do not reflect the ability of the restaurants to generate revenue. Comparisons of revenue and profit per meals served or space occupied would give a better indication, whilst using revenue per employee would be a measure of efficiency. Also, each segment is an aggregation of the performance of a number of restaurants. It would be helpful to see the variation in performance in each segment.

The decrease in gross profitability has been enhanced by the rise in administration costs which has resulted in a fall in operating profit margin from 8.0% to 6.4%. More details are needed about why administration costs are rising when business at the restaurants is not increasing. Although average operating profit margin for the sector has also been falling, this appears to be mainly due to the fall in gross profit margin, with the larger fall in Southmed's operating profit margin suggesting it has greater issues with operating cost control.

The lower return on capital employed is due to the fall in profitability, as the asset base has decreased slightly over the three years. The number of restaurants has been static over the last three years, possibly due to lack of funds for investment in new sites. In addition, the decline in the value of non-current assets appears to indicate that additional investment is not being made in the asset base, when, by contrast, competitor restaurants are investing in better surroundings.

Solvency

Using market values to estimate the value of equity, gearing has remained fairly static over the three years with the fall in non-current liabilities being matched by the fall in the value of equity due to the decrease in the share price. This raises the question of why additional loan funding has not been sought, particularly as Southmed's gearing is lower than the sector average. The level of interest cover may be a factor. The fall in profitability has resulted in decreased interest cover in 20X2, despite the lower financing cost. Further falls in profitability or taking out of more loan finance may result in interest cover falling to unacceptably low levels.

Liquidity

The company's current ratio has shown a drop in 20X2, predominantly due to the increase in trade payables, reflected in an increase in the payables payment period. This may be a one-off caused by a year-end distortion in paying suppliers, but it may be an early sign of possible cash flow pressures. The main current asset is the bank and cash balance which Southmed has been able to maintain, it does not appear to require overdraft financing at present. The fact that it has not changed very much over the three years may indicate that it is a precautionary balance.

Investor

Southmed has been able to maintain the level of dividend payment, which could arguably be a sign of the directors showing confidence in the company's ability to generate cash flows. However, it does not appear to be convincing as the company's share price has fallen by 6% and 9% over the last two years. Investors may be taking the view that the decline in dividend cover from 1.7 to 1.4 is a sign that dividends are not sustainable. Any fall in dividends would lead to a further fall in total shareholder return, which has declined over the last two years despite the increase in dividends. Part of the reason for the fall may be the restaurant sector not generally being popular with investors, as shown by the sector's average fall in share price. However, Southmed's share price has declined at a faster rate, indicating shareholders have specific concerns about it.

The increase in the price/earnings ratio reflects the fact that share price has not fallen at the same rate as earnings.

Conclusion

At present, Southmed is managing to meet its loan repayments and maintain the level of dividend, but this situation may not continue if profits continue to fall. In addition, the need to invest in the non-current asset base of the company means that extra finance has to be generated. It seems doubtful whether its current operations will be able to generate the funds required. Southmed has only been able to generate increased revenue in the tourist centre segment, but the gross profits of the tourist centre restaurants

have fallen. Increased debt might send gearing up to levels which would concern shareholders and the stock market, particularly as interest commitments might threaten dividend payments. The fall in share price, despite the maintenance of dividend levels, suggests Southmed may struggle to raise sufficient funds through an equity issue.

Appendix

Year	20X2	20X1	20X0
Profitability			
Change in revenue (%)	(0.5)	(0.3)	
Gross profit margin (%)	16.0	16.6	17.1
Change in gross profit (%)	(4.5)	(2.9)	
Operating profit margin (%)	6.4	7.4	8.0
Change in operating profit (%)	(14.4)	(8.2)	
Asset turnover (sales/capital employed)	1.6	1.5	1.5
Return on capital employed (%)	9.9	11.4	12.4
Solvency			
Gearing (%) (non-current liabilities/(non-current liabilities + market value of equity))	32.5	32.7	32.9
Interest cover	3.2	3.5	3.5
Liquidity			
Current ratio	0.9	1.0	1.0
Trade payables payment period (days)	38.1	31.0	30.7
Investor			
Earnings per share (\$)	0.41	0.48	0.52
Dividend cover	1.4	1.6	1.7
Dividend per share (\$)	0.30	0.30	0.30
Market price per share (\$) (given)	4.85	5.35	5.70
Change in share price (%)	(9.3)	(6.1)	
Dividend yield (%)	6.2	5.6	5.3
Total shareholder return (%)	(3.2)	(0.5)	
Price/earnings ratio	11.8	11.1	11.0
Restaurant analysis			
Revenue per restaurant (\$000)			
Six largest cities	1,263	1,308	1,350
Tourist centres	925	906	881
Small cities and towns	726	727	730
Change in revenue (%)			
Six largest cities	(3.5)	(3.1)	
Tourist centres	2.1	2.8	
Small cities and towns	(0.2)	(0.3)	
Gross profit margin (%)			
Six largest cities	15.5	17.2	18.2
Tourist centres	14.5	15.2	16.0
Small cities and towns	16.9	17.0	17.0
Change in gross profit (%)			
Six largest cities	(13.0)	(8.5)	
Tourist centres	(2.3)	(2.2)	
Small cities and towns	(1.0)	0	

3 (a) \$24m loan

Forward rate agreement (FRA)

Net payment is \$461,600 and effective annual interest rate is 5.77%, as stated in Exhibit 1.

Futures

Sell June futures, as the hedge is against a rise in interest rates and the borrowing occurs in May.

Number of contracts = \$24m/\$500,000 x 4 months/3 months = 64 contracts

Basis

Current price (1 February) – futures price = basis

$(100 - 5.10) - 94.55 = 0.35$

Unexpired basis on 1 May = $2/5 \times 0.35 = 0.14$

Central bank base rate increases to 5.9%

	\$
Underlying borrowing cost	
$6.3\% \times \$24\text{m} \times 4/12$	(504,000)
Expected futures price	
$100 - 5.9 - 0.14 = 93.96$	
Gain on the futures market	
$(0.9455 - 0.9396) \times \$500,000 \times 3/12 \times 64$	47,200
Net borrowing cost	(456,800)
Effective annual interest rate	
$\$456,800 / \$24\text{m} \times 12/4$	5.71%

\$18m investment**Options on futures**

Buy September call options as need to hedge against a fall in interest rates.

Number of contracts = $\$18\text{m} / \$500,000 \times 5 \text{ months} / 3 \text{ months} = 60 \text{ contracts}$

Basis

Current price (1 February) – futures price = basis

$(100 - 5.10) - 94.50 = 0.4$

Unexpired basis on 1 September = $1/8 \times 0.4 = 0.05$

Central bank base rate falls to 4.5%

Exercise price	94.75
Expected futures price	
$100 - 4.5 - 0.05$	95.45
Exercise?	Yes
Gain in basis points	70

	\$
Gain from options	
$0.0070 \times 3/12 \times \$500,000 \times 60$	52,500
Investment return	
$4.2\% \times 5/12 \times \18m	315,000
Premium	
$0.00298 \times \$500,000 \times 3/12 \times 60$	(22,350)
Net receipt	345,150
Effective annual interest rate	
$\$345,150 / \$18\text{m} \times 12/5$	4.60%

Discussion

In each case, the worst-case scenario has been considered, i.e. the higher interest rate on the loan and the lower interest rate on the investment. For the loan, the futures give a slightly better result than the FRA and Abertafol Co may choose it for that reason. The result for the futures is dependent on the assumptions that basis diminishes linearly and there is no basis risk, which may not be true in practice. The assumption that there is no margin requirement may not also be true in real-life. The FRA has a theoretical risk of default as it is an over-the-counter policy, but this should be very small if the counterparty is a reputable financial institution.

For the investment, the FRA gives the higher guaranteed return if the interest rate falls. If Abertafol Co is primarily concerned with certainty of cash flow, it will choose the FRA. If Abertafol Co believes that it is unlikely that interest rates will fall (either because it believes the governing party will win the election or that the opposition party will not fulfil its promise to reduce interest rates), it should choose the options compared to the FRA.

(b) Director A

The argument that shareholders do not expect Abertafol Co to use derivatives as it is not part of their trading purpose could apply if it was looking to make profits out of trading in derivatives for speculative purposes. Shareholders might question trading for these reasons and whether use of derivatives was increasing the risk levels they faced.

However, that is not the case here. In these circumstances, derivatives are being used for hedging purposes, to limit the risks to cash flows the company faces. It could be argued that shareholders would expect Abertafol Co to take reasonable steps to manage risks, particularly as levels and direction of interest rate movement are quite uncertain at present. If the risks are not hedged, Abertafol Co could lose out doubly, having to pay more interest and receiving less interest than if it took steps to hedge.

Abertafol Co will also generally wish to limit uncertainty when it is budgeting. Using derivatives limits how much actual payments or receipts could vary from budgeted figures, whereas the maximum possible variations from budgeted figures if derivatives are not used are uncertain and could be large.

Director B

It is true that interest rates might rise or fall, but not to the levels predicted. As regards the loan, if interest rates did not go up beyond 5.31%, Abertafo Co would end up paying more as a result of hedging. The terms for the futures and forward rate agreements reflect market expectations that rates will rise to around this level. This suggests that the risk of Abertafo Co paying significantly more on the loan as a result of hedging is small.

As regards the interest rate on the investment, the forward rate is set bearing in mind the uncertainty about the ultimate direction of interest rate change as well as its amount. If the opposition party wins the election, the forward rate agreement is likely to lead to a higher net receipt (receiving 5.05% would imply an offer rate of 5.35% on the forward rate agreement, when the opposition party is planning to reduce the central bank base rate below 5.1%). The current government would have to increase the base rate above 5.35% for the forward rate agreement to be less profitable than not hedging.

Director C

Although not evaluated here, if the central bank base rate rose to 5.9%, options would not be exercised. In this situation, options would represent a less profitable choice than not hedging because of the premium paid.

Options would be a better choice than not hedging if they were exercised and the central bank base rate fell below 4.9%, meaning interest received was below 4.6%. This would imply that the opposition party had won the election and fulfilled its promise to reduce interest rates. However, if the central bank rate fell to such an extent that options were exercised, the forward rate agreement would give a higher effective annual interest rate than options.

Therefore, it is true from this investment's perspective that options would never be the best solution whatever the change in interest rates.

(Note: Credit will be given for alternative and valid comments.)

	<i>Marks</i>
1 (i) Contribution	3
Fixed costs	1
Tax allowable depreciation	1
Taxation	1
Working capital	2
	8
(ii) Exchange rates	2
US\$ cash flows	1
Additional tax	2
Component contribution	2
Tax on component contribution	1
Net present value	1
	9
(iii) US\$ cash flows	1
Additional tax	1
Net present value	1
Evaluation (e.g. historical trend v purchasing power parity, impact on cash flows, impact on net present value, attitude to risk, etc)	2–3
Recommendation	1
	6
Max	6
(iv) Assumptions	3–4
Lack of consistency	2–3
Methodology	2–3
	8
Max	8
(v) Up to 2 marks per well explained point (e.g. change of government, increased tax rate, transfer price, withdrawal of guarantee, tariffs, block on remittances)	5
(vi) Up to 2 marks per well explained point (e.g. diversifiability, foreign exchange risk, institutional shareholders, political risk adjustment)	4
Professional skills marks	10
Total	50

Professional skills marks

Communication

- General report format and structure (use of headings/sub-headings and an introduction)
- Style, language and clarity (appropriate layout and tone of report response, presentation of calculations, appropriate use of the tools)
- Effectiveness of communication (answer is relevant, specific rather than general and focused to the requirement)

Analysis and evaluation

- Appropriate use of the data to determine suitable calculations
- Appropriate use of the data to support discussion and draw appropriate conclusions
- Balanced appraisal/use of information objectively to support options, determine the impact of a course of action, make a recommendation or decision

Scepticism

- Effective challenge of information, evidence and assumptions supplied, and techniques carried out to support key facts and/or decisions
- Demonstration of the ability to probe into the reasons for issues and problems, including the identification of missing information or additional information, which would alter the decisions reached by McKeever Co

Marks**Commercial acumen**

- Advice is practical and plausible in the context of McKeever Co's situation
- Effective use of examples and/or calculations from the scenario information and other practical considerations related to the context to illustrate points being made
- Recognition of external constraints and opportunities as necessary

Maximum 10 marks**2 Calculations**

Profitability

(calculations can include revenue and profit changes, profit margins, asset turnover, ROCE)

3–4

Capital structure

1–2

Liquidity

1–2

Investor (calculations can include earnings and dividend per share, dividend cover, change in share price, dividend yield, total shareholder return, price/earnings ratio)

3–4

Restaurant analysis

1–2

Max 10**Discussion**

Profitability

2–3

Capital structure

2–3

Liquidity

1–2

Investor

2–3

Restaurant analysis

2–3

Conclusion

1–2

Max 10

Professional skills marks

5**Total 25****Professional skills marks****Analysis and evaluation**

- Appropriate use of the data to determine suitable calculations
- Appropriate use of the data to support discussion, draw appropriate conclusions and design appropriate responses
- Identification of omissions from the analysis, or further analysis, which could be carried out to enable an appropriate decision/recommendation to be made
- Demonstration of reasoned judgement when considering key organisational matters and impacts

Scepticism

- Effective challenge of information, evidence and assumptions supplied and techniques carried out to support key facts and/or decisions
- Demonstration of the ability to probe into the reasons for issues and problems, including the identification of missing information or additional information

Commercial acumen

- Effective use of examples and/or calculations from the scenario information and other practical considerations related to the context to illustrate points being made
- Recognition of external constraints and opportunities as necessary

Maximum 5 marks

		Marks
3	(a) Sell June futures	1
	Number of futures contracts	1
	Unexpired basis calculation	1
	Impact of interest rate increase with futures	2
	Number of contracts	1
	Unexpired basis calculation	1
	Premium calculation	1
	Exercise options?	1
	Impact of interest rate decrease with options	1
	Discussion	
	(points can include loan: futures margins and basis risks, FRA counterparty risk; investment: FRA certainty of cash flow, options give upside which may be beneficial depending on government policy choices)	3–4
	Max	13
	(b) 2–3 marks for each of three queries discussed	Max 7
	Professional skills marks	5
	Total	25

Professional skills marks

Analysis and evaluation

- Appropriate use of the data to determine suitable calculations
- Appropriate use of the data to support discussion, draw appropriate conclusions and design appropriate responses

Scepticism

- Effective challenge of information and assumptions supplied, and techniques carried out, to support key facts and/or decisions
- Effective challenge and critical assessment of the information and assumptions provided
- Demonstration of the ability to probe into the reasons for issues which would be required to challenge conclusions or recommendations which have already been reached

Commercial acumen

- Recommendations are practical and plausible in the context of Abertafol Co's situation
- Effective use of examples and/or calculations from the scenario information, and other practical considerations related to the context, to illustrate points being made

Maximum 5 marks

